

Government-Backed Mortgages

Government loans such as FHA and VA loans make home ownership possible for people who might not otherwise qualify for a mortgage. The federal government insures the loan, which is issued by a regular lender. FHA loans allow a smaller down payment than regular mortgages (3 percent rather than 10 or 20 percent), allow a higher debt percentage, and allow you to borrow the down payment and closing costs from a family member, which you can't do legally with a regular mortgage. VA loans are for veterans and don't require any down payment. They have even less stringent requirements on the income-to-debt ratio than FHA loans.



The more you borrow relative to the price of the home, the higher the interest rate, so when you make a small down payment, don't expect to get the best rates. Lenders charge higher rates because there's more risk that you'll default if you have little equity in your home.

Even though they're insured by the government, FHA and VA loans are not always your best bet. If you have good credit, you should take a look at conventional loans from a bank or mortgage broker for comparison.